

Equity Strategy - China

Light positioning, watching catalysts -
Singapore investors' feedback

Equity Strategy

Light positioning in China, but watching for a turn

During our Singapore marketing last week, investors we spoke with are no longer complaining/debating about China's underperformance, suggesting that positioning is already quite light. Focus remains on AI, and even more narrowly on AI hardware/infrastructure as a "model agnostic" play. The view is that MSCI China/H-share may continue to lag unless the AI hardware rally fades. As such, discussions have shifted to potential catalysts for a "trend reversal", including: 1) higher cost of capital from rising rates/ bond yields, 2) potential liquidity drain from mega IPOs), and 3) sustainability of AI CAPEX/monetization amid an emerging social backlash – watch next earnings.

Focus sectors: metals, non-bank financials, consumers

Investors are frustrated by the underperformance of metals and non-bank financials. We think this is driven by: 1) relatively crowded positioning and foreign flow selling, as China's weighting in MSCI EM fell from 31% to 21% over the past 8mths; 2) earnings: fears that "the best is behind" and limited visibility ahead; and 3) concerns on policy tightening or "national team" selling (for non-banks). Investors are encouraged by "green shoots" in property markets and hope it could boost consumption. We are constructive that the top-tier cities' property markets are stabilizing at the bottom. However, it may take a couple more months to assess whether the recovery can continue, rather than fade like the previous rebounds. We remain cautious on the read-through to consumption, unless we see a more broad-based and significant rise in property prices.

Memory: positioning not stretched? Missing is career risk

As discussed in our [China Conference feedback \(link\)](#), market concerns about an AI bubble have declined. HFs adopting AI tools are seeing real productivity gains, with AUM rising much more than headcount. Tech specialists are more confident than generalists on memory supply shortage and pricing power. Has positioning become too crowded? SK Hynix, nearly USD1tn in market cap, still has risen 5-10% a day – suggesting continued sizeable inflow. Some LOs admit that they remain underweight, either reluctant to chase or sold too early – seasoned investors tend to be more cautious about the "cyclical/commodity" nature of the space. Therefore, positioning may not be as stretched as feared. Anecdotally, some EM funds have shut down recently for underperformance – one HF client put it bluntly: "it is no longer just opportunity cost, it's a career risk".

Policy risk: less geopolitical, more domestic

With low expectations going into the Xi-Trump summit, investors were not disappointed either. "Strategic stability" in US-China relations should help contain tail risks for the market in the next 4-5mths. That said, China's crackdown on unlicensed cross-border brokerage has raised concerns. Investors are debating whether this signals another round of tightening on internet sectors (following FinTech, eCommerce, OTA), or is more targeted at cross-border capital flows (with implications for banks/insurers). Together with a busy HK IPO pipeline, the tightening may not bode well for HK market's liquidity.

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China

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[2026: play defensive, awaiting for positive catalysts, Apr 2nd](#)

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Glossary:

EM: Emerging Market

OTA: Online Travel Agent

AUM: assets under management

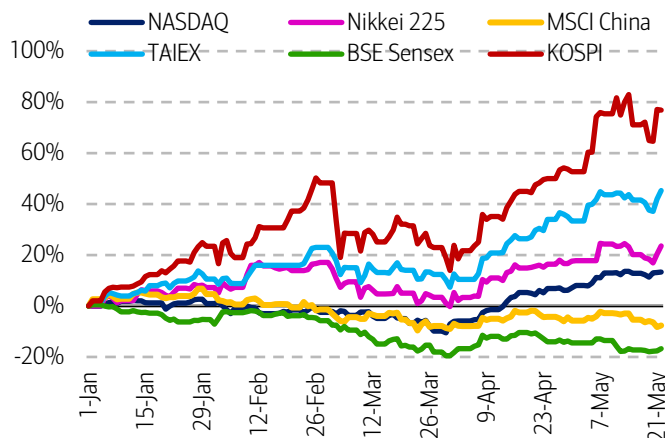
HF: hedge fund

LO: long-only fund

Light positioning, watching catalysts

Exhibit 1: China underperformed YTD

Performance of US and major Asian markets YTD

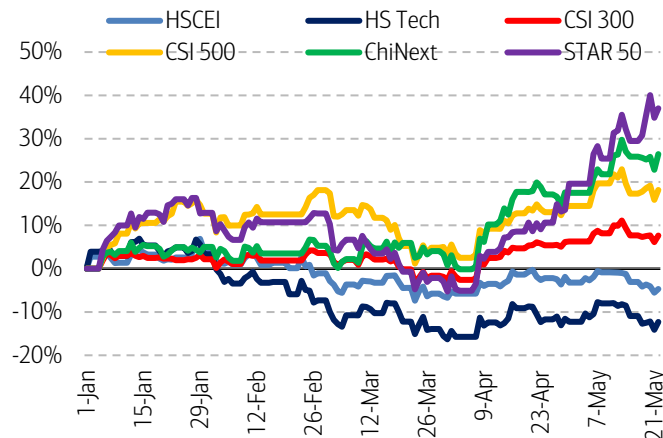


Source: Bloomberg, MSCI

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Exhibit 2: Within China, STAR 50/ChiNext outperformed

Performance of major China market indices YTD

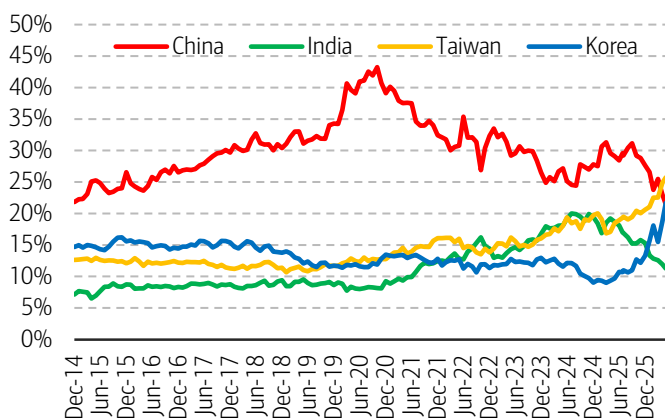


Source: Bloomberg

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Exhibit 3: China's weighting fell to below Taiwan and Korea

Major EM markets' weighting in MSCI EM

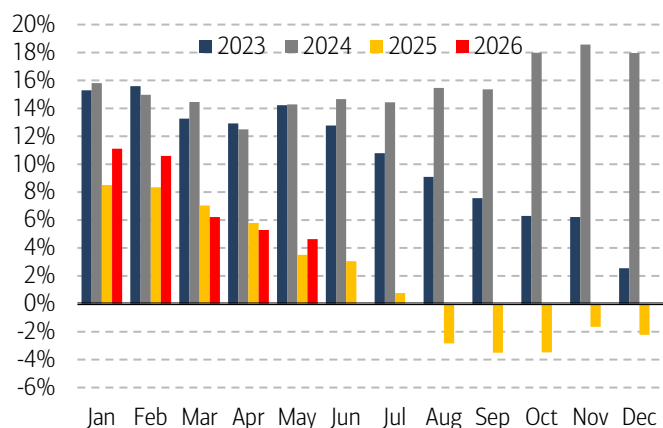


Source: FactSet, MSCI

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Exhibit 4: 2026E EPS growth was cut from 11% in Jan to 5% in May

Consensus forecast for MSCI China's earning growth

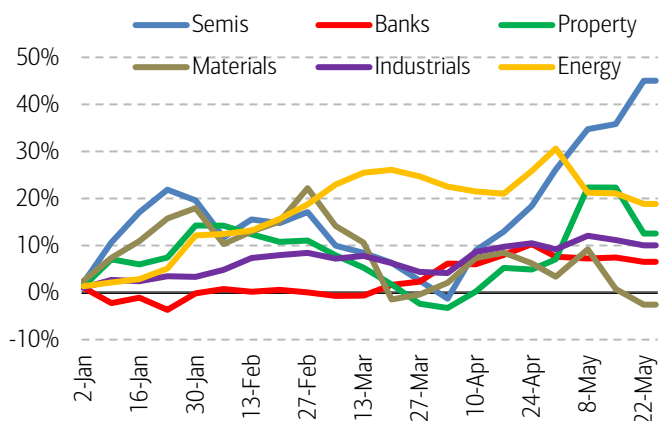


Source: Bloomberg, MSCI, FactSet

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Exhibit 5: Semis and energy sectors outperformed YTD

MSCI China sector performance YTD

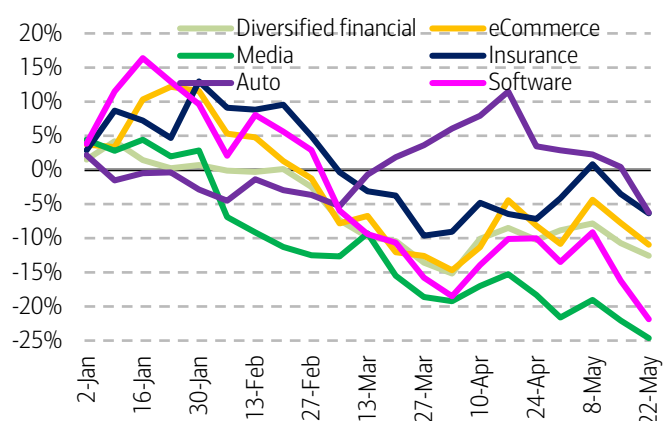


Source: MSCI

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Exhibit 6: Media, software and diversified financials lagged YTD

MSCI China sector performance YTD



Source: MSCI

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